GMS WEEKLY

Your Source for Recycling News

March 28th, 2025
Week 13
Volume 270, Issue 1178

Highlights:

- **OFAC concerns.**
- **Tsunami of Tumult.**
- **Margarita surprise.**
- **Freight deprives.**
- **HKC looms.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"If you know you are going to fail, then fail gloriously."

– Cate Blanchett

-- MARKET COMMENTARY --

CONFUSION!

As highlighted in last week's edition of the GMS Weekly, the two VLCCs that have fallen afoul of USDN rules and become victims of OFAC sanctions remain stranded outside Bangladeshi waters with no prospects of a final resting place and this is now seeing cash buyers and ship recyclers being vigilant in their appropriate 'due diligence' prior to negotiating on units, especially those deemed suspect as there reportedly are still a few more units in cash buyer hands that are waiting to be introduced for a recycling resale. However, given the fate that the behemoth duo has run into outside Bangladesh, it remains to be seen how these pending and even future dealings with candidates from sanctioned source(s) will eventually transpire.

For now, like 2024, the 2025 tsunami of economic tumult continues to surprise week-after-week with macro fundamentals taking turns to shake up ever-changing sentiments across the board. Oil has started to jitter like the stock markets as despite registering declines through the week (and being low overall), it ended at a 'higher than last week' level of USD 69.40/barrel, as oil markets remain cautious on the back of recently announced Iranian and Venezuelan sanctions. On the flip side (and rather surprisingly), charter rates declined this week across the dry bulk board as nearly all sectors (Handies, Panamaxes, Capes, and even Supras) registered falls, dragging the overall Baltic Dry Sea Freight Index down this week, which was followed by a minor uptick in recycling enquiries from sellers at the bidding tables. And while some of the discussions are still ongoing, local anchorages delivered a Margarita Mix of surprises as Pakistan took in more vessels than India this week, despite a clear overall decline in the number of arrivals & deliveries across the sub-continent board.

Zooming into domestic fundamentals of ship recycling markets, steel plate prices played opposite roles in Pakistan and India as while Indian levels recorded an impressive jump, Pakistani levels continue to bleed out as they have declined non-stop over the last month now, all while Bangladeshi and Chinese levels continue to flatline at the bottom of the pool. Even the U.S. Dollar remained undecided against these currencies as it made firm improvements against some, while losing ground against others. Bangladesh seems surprisingly bullish despite ongoing Eid holidays and the end of the Holy Month of Ramadan, likely on the back of a few hungry recyclers, whilst competing India and Pakistan struggled to keep up even though there remains a distinct lack in the availability of units for a recycling sale as we end lucky number Week 13 and head into Q2 of the year. Prices in Bangladesh are slightly higher than USD 450/LT LDT on certain select / favored units (such as tankers and containers) coming in from the Far East and this has left India & Pakistan gravitating towards even smaller geographically positioned units to satisfy their own permeating demand.

Finally, with the HKC June 26th deadline approaching closer and even the deadline within which to begin yard upgrades in Bangladesh by March 31st has not been extended as yet, a healthy number of domestic recyclers will be unable to import vessels post-Eid. Pakistan, meanwhile, is at the very early stages of starting upgrades and needs to do much more work in the months ahead in order to stay relevant, whilst Turkey surfs away into the distance on the back of a receding Lira. Q2? Phew!

GMS demo rankings / pricing for week 13 of 2025 are on Page 5.

BANGLADESH

Price hype

Caution urged.

In local news, one of the OFAC listed VLCCs currently stuck outside Bangladesh has reportedly made moves to imminently depart Bangladeshi waters for a potential India re-delivery, whilst the other remains stranded outside without a local resale / MoA and subsequently without an NOC (No Objection Certificate) that would otherwise have permitted its entry into local waters. And with little hopes for a local resale at present, given the strong opposition from domestic authorities and banks on beaching prohibited / OFAC listed / sanctioned tonnage, her, and the unfortunate future of other sanctioned ladies like her, remains an unfolding mystery.

Premiums paid.

Meanwhile, a renewed shortage of viable recycling units for sale in addition to the looming March 31st deadline for local buyers to have initiated yard upgrades whereafter, they will not be permitted to import vessels for recycling upon resumption of normal business hours post-Eid holidays, any units that are currently on offer and are locally favored are seeing premiums above market levels from those recyclers looking to quickly book a unit prior to the deadline, thereby artificially raising the ship-recycling price floor out of Bangladesh this week. And as any potential extension on the deadline to initiate yard upgrades is unlikely to come through at this time, local ship recycling facilities who have not already done so, will urgently need to initiate yard upgrades or fail to align with HKC standards before its entry into force on June 26th of this year, risking falling out of the recycling scene entirely thereafter. This failure to extend is also delivering a lot of confusion in the local market as to the fate of vessels concluded to those recyclers who have not commenced yard upgrades and are still enroute, due to be delivered post-Eid opening. What happens to these deliveries remains to be seen.

Extension likely.

And as indications for prompt delivery units that are of local interest seem to have rendered the illusion of a firming market, the reality of Bangladesh's economy and even local fundamentals has failed to provide the much-needed industry-wide confidence that the interim administration has yet to deliver for nearly a year now. Moreover, even though Eid holidays have calmed the local rioting, they have also seen no movement of local steel from local recycling yards into domestic steel mills, resulting in an expected flatlining in plate prices that have remained in cold layup at about USD 529/Ton for nearly all year, and still managing to keep this market atop the market rankings for over two quarters. Even the Bangladeshi Taka reported marginal movements as it firmed a mere 10 basis points against the U.S. Dollar, ending the week at a still high BDT 121.17.

Earthly jitters.

Finally, the recent earthquake that devastated neighboring Myanmar has set off panic amongst the populous that far-reaching aftershocks may reverberate through the nation in the near future and while this could create a major disruption in services, Chattogram Choppers seem like they more than have their hands full upon their return battling potential earthly jitters and administrative haltings on incoming vessels, all while Gadani's anchorage remains the busiest of sub-continent destinations at the end of Q1 2025 and HKC upgrades are yet to commence.

NO MARKET SALES REPORTED

INDIA

DAMPENING!

Of late, it has been a slower period for Alang recyclers on account of India's weakening offerings and Pakistan's inadvertent passing India into 2nd place on the marking rankings, in addition to minimal sales (apart from the rare few HKC only green vessels for India only redelivery and specialist nonferrous and offshore units), and finally, softening / dampening fundamentals that have decimated local sentiments over the last 6 – 8 weeks.

Slower & softer.

Fortunately, this week, as both Bangladeshi and Pakistani markets were busy celebrating the end of the month of Ramadan and Pakistani fundamentals were being hammered, Indian plate prices jumped a massive USD 9/Ton this week and are on their way to USD 455/Ton, mercifully (yet barely) above where local recyclers are comfortable that local offerings are just about aligning with domestic fundamentals. Even the Indian Rupee that only recently saw the better part of Rs. 87 against the U.S. Dollar (nearly breaching Rs. 88), has finally been firming once again as it ended the week 55 basis points firmer at Rs. 85.53.

Losing out.

This recent dampening of Indian sentiments that saw Pakistan slide up into 2nd place also saw India drop into 3rd place on the local port position via the number and total LDT at Alang anchorage this week, as a mere 2 ships and 6K LDT are being / have been delivered locally. And while Pakistan has managed to maintain the 2nd spot in the market rankings, it has an aggressive Bangladesh that has been capturing most of the headlines and most of the (geographically viable) market fixtures at some top numbers over the preceding few weeks, all while India and Pakistan start to lag and clearly have some catching up to do, especially in this most recent wake of tonnage delinquency.

Moreover, being the 2nd largest Asian Economy, the effects of Trump's tariffs are also expected to affect India the most given his recent blanket announcement of 25% tariffs including fresh ones on all imported vehicles and thereby, vehicle parts coming into the United States, of which, India is a supplier of, including being a **major** pharmaceuticals exporter to the States, which will certainly see India's economy take a hit through 2025. Oil sanctions too are making a situation for a heavily oil dependant nation such as India, that much more watchful of the U.S. government's upcoming moves given that the nation's economy is traversing through recently buoyant times.

Tariff fears.

Notwithstanding, the positive news on the horizon is that the Indian government continues to make efforts at ensuring that sector specific exports from specific countries (including India) are tariffed in a more structured way so as to ensure smooth ongoing trade with the U.S., thereby keeping currencies stable. Moreover, even though major tax breaks for low – median income individuals and families is already seeing an uptick in India's consumer spending index, the much-needed and far delayed infrastructure projects that would greatly help local steel plate prices and in effect, the world's largest ship recycling destination i.e. Alang, become a booming place (from a purchasing standpoint) once again, remains out of the government's collective minds at the moment.

Infra projects.

NO MARKET SALES REPORTED

PAKISTAN

TINY GAINS!

Attempting.

Despite attempts to get back into the buying at competitive levels in recent times, Pakistan has yet to really transact on a significant portion of any of the market tonnage that has come available since the start of the year. Other than a handful of small LDT / geographically better suited (for a Pakistan re-delivery) units that have been concluded to local buyers with largely dormant plots, a rampant Bangladeshi market remains significantly ahead of a seemingly improving Gadani.

Moreover, Pakistani offerings remain marginally ahead of those from neighboring India where Indian fundamentals marked noteworthy improvements this week, all while local fundamentals continue sinking in a sticky mess that seems to be dragging them down by the week as not only did local steel plate prices fall about USD 4/Ton and end the week at about USD 624 / Ton (a drop that has totaled nearly USD 40/Ton over the last 4 weeks), but even the Pakistani Rupee firmed a mere 5 basis points against the U.S. Dollar as it still ended the week at PKR 280.04, certainly in record-high territory for the currency.

Ice cream truck.

How this will affect Gadani's purchasing mindset at the bidding tables post-Eid remains to be seen. For now, the Gadani Gang has managed to takeover the ice cream truck as over the last couple of weeks, the industry has seen a vessel arrive locally every week including this one, where a couple of units welcomed the waterfront. Of these, one is a really tiny unit that was likely trading regional waters. Nonetheless, Gadani's anchorage now has more units and LDT than neighboring Alang, something the industry has not witnessed in a very long time, and this should keep respective Gadani recyclers engaged through a time the number of local units delivered into Pakistan can be counted on one hand – and that too through the span of an entire quarter.

HKC!!!

Gadani recyclers have yet to also make any moves towards upgrading the respective recycling infrastructure and ship recycling practices at their yards to HKC standards, in addition to receiving their SOC (Statement of Compliance) Certifications' from recognized / IACS societies, something that nearly all Alang ship recyclers are fully prepared for and Chattogram Choppers are slowly getting their inertia moving on from static now that those who have yet to initiate upgrades of their own will fail to receive NoCs from April, which will certainly push their pedal further in. What seems certain is that a few (if not a majority) of Pakistani ship recycling yards will face recycling restrictions from the authorities post June 26th, unless by some miracle, speedy action by the Gadani Gang is initiated to get their respective yards ready just in time.

Ahead of India.

For now, however, as we stand on the precipice of Q2 2025, Pakistani ship recyclers can at least be buoyed by the fact that they are ahead of India in the marking rankings, especially after a miserable showing from Alang over previous weeks (on account of their declining fundamentals), and the Gadani recyclers would certainly take these tiny gains after an altogether forgettable last few years spent largely on the sidelines of the ship recycling industry.

NO MARKET SALES REPORTED

TURKEY

INCOGNITO!

TRY 40?

In the face of a rapidly declining Turkish Lira that has now recorded the largest decline amongst ship-recycling nations across Week 13 of Q1 2025, plummeting over 1.15% to TRY 37.99 against the U.S. Dollar, Aliaga recyclers were left in shock and retreated back to Eid celebrations as the sentiment post-Eid is certainly going to be one of sheer alarm, especially as the Lira is a breath away from TRY 38 and probably on the verge of jumping past TRY 40 within the next month.

And whilst on holiday, even though there has been no trading of local steel plate prices, rumors of a collapse are circulating and only Week 14 / 15 will reveal just how the local market is reacting to the collapsing Lira. Turkey's inflation, though improving, also remains precarious at nearly 40% (down from the highs of 80% only 3 years ago) and has seen a near collapse in vessel purchases from Aliaga over the same time. Notwithstanding, a smaller LDT sale is rumored to have taken place into Aliaga this week and will only be confirmed next week.

Aliaga has certainly gone incognito…and limping in the dark again.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 13 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Improving**	455 / LDT	475 / LDT	485 / LDT
2	Pakistan	**Stable**	445 / LDT	465 / LDT	475 / LDT
3	India	**Weak**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

2024 FUN FACTS

- ***First Ever Outdoor Olympics Opening Ceremony – July 26th, 2024:*** *This year's Olympics in Paris, France, included the first-ever outdoor Olympic opening ceremony. The ceremony took place along the River Seine. The fun lasted four hours and included 85 boats carrying 6,800 athletes from 205 National Olympic Committees. Twelve acts also appeared around the city at key locations to reflect France's culture and history.*
- ***Norway Becomes First Country Where Electric Cars Outnumber Petrol – September 17th, 2024:*** *In September this year, Norway became the first to have electric cars outnumber petrol cars. Norway has pledged that all newly sold cars will be electric by 2025. Electric vehicle sales increased in the US this year, with around 14% more sold. However, the total percentage of electric vehicles in the US for 2024 is still less than 20%.*
- ***The World's Longest Ever Treasure Hunt Ends – October 3rd, 2024:*** *The world's longest-ever treasure hunt started in 1993 when French author Max Valentin published his book, 'Chouette d'Or' or 'Golden Owl'. The book contained 11 complicated puzzles that led to a buried valuable golden owl sculpture. The treasure hunt has lasted over 31 years, making it the longest-ever hunt. While Valentin died in 2009, Michel Becker, who illustrated the original, continued to provide clues. People who joined the treasure hunt spent the past 31 years sharing tips and following each clue. On October 3rd, Becker announced the discovery of the golden owl, bringing the treasure hunt to a close.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	March 27 – April 05 April 12 – April 17 April 26 – May 03

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 03 – Eid-ul-Fitr	March 29 – April 01 April 12 – April 15 April 27 – April 30

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

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ALANG - Port Position as of March 28, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ion	3,868	Chemical Tanker	Arrived March 26
2	*KG 7*	*2,649*	*Oil Tanker*	*Delivered March 28*
Total Tonnage		**6,517**		

CHATTOGRAM - Port Position as of March 28, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Elli	9,242	Bulk Carrier	Arrived March 27
2	Equator	42,649	Tanker	Arrived March 18
3	Rich Anna	1,011	General Cargo	Arrived March 26
4	**Three Star**	**7,627**	**Bulk Carrier**	**Arrived January 23**
5	*Vik*	*1,330*	*Tanker*	*Delivered March 26*
		61,859		

GADANI - Port Position as of March 28, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic 22	5,219	Bulk Carrier	Arrived March 13
2	Marco	975	Standby-Safety Vessel	Arrived March 23
3	Neptune Star 25	5,471	Bulk Carrier	Arrived March 23
Total Tonnage		**11,665**		

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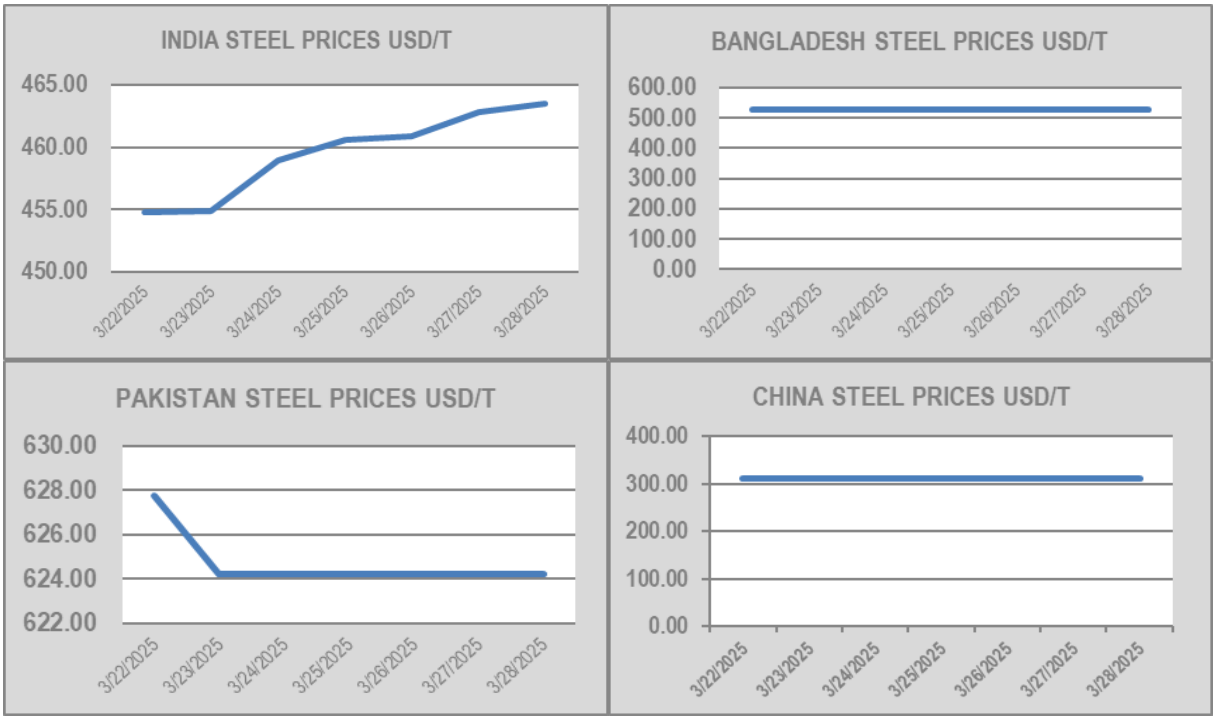
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/22/2025	454.76	39,100.00	627.79	175,000.00	529.41	63,000.00	311.57
3/23/2025	454.92	39,100.00	624.22	175,000.00	529.41	63,000.00	311.57
3/24/2025	458.90	39,300.00	624.22	175,000.00	529.41	63,000.00	311.57
3/25/2025	460.59	39,500.00	624.22	175,000.00	529.41	63,000.00	311.57
3/26/2025	460.86	39,500.00	624.22	175,000.00	529.41	63,000.00	311.57
3/27/2025	462.81	39,700.00	624.22	175,000.00	529.41	63,000.00	311.57
3/28/2025	463.51	39,700.00	624.22	175,000.00	529.41	63,000.00	311.57



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